

Entero Healthcare Solutions Limited

ACCUMULATE

NSE: ENTERO | BSE: 544010

Healthcare Distributor | Pharma Supply Chain

Report Date: 2 April 2026

CMP (■)	52W High (■)	52W Low (■)	Market Cap	Shares O/S
1,249.10	1,563.90	944.00	■5,196 Cr	4.16 Cr
12M Price Target	Upside / Downside	Investment Horizon	Sector	Conviction
■1,500	+20.1%	12 months	Healthcare	Medium-High

Investment Thesis: India's #3 pharma distributor, consolidating a ■5.5L Cr fragmented market via M&A; and tech at inflecting margins.

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	3,306	3,922	5,096	6,500	8,000
Revenue Growth (%)	—	18.6%	30.0%	27.5%	23.1%
EBITDA (■ Cr)	64	112	178	227	296
EBITDA Margin (%)	1.9%	2.9%	3.5%	3.5%	3.7%
PAT (■ Cr)	(8)	39	95	120	163
Diluted EPS (■)	(1.9)	9.4	22.8	28.9	39.2
P/E (x)	—	NM	54.8x	43.2x	31.9x
EV/EBITDA (x)	—	NM	30.4x	24.0x	18.4x
RoE (%)	Neg	7.3%	15.2%	16.8%	19.5%

Note: (E) = Estimated. All figures on a consolidated basis. Source: Company filings, analyst estimates.

SECTION 2 — INVESTMENT THESIS

Core Reason 1 — Consolidator in a ■5.5 Lakh Crore Fragmented Market

India's pharmaceutical and medical products **distribution market** is estimated at **■5.5 lakh crore** and remains **deeply fragmented**, with over **65,000–70,000 regional stockists** collectively holding **~90%+** of the market. **Organised national distributors** — Keimed (Apollo HealthCo), **Ascent** (Reliance) and **Entero** — **together account for barely 8–10% of the addressable market**. Entero's roll-up M&A; model, which **added 8 subsidiaries in FY25 alone**, is rapidly **expanding its footprint from 20 states and 104 warehouses today**. The **market** is growing at **~10–12% CAGR** aided by chronic disease prevalence, rising health insurance penetration and hospital capacity addition. At sub-2% organised penetration, **Entero's runway to gain share over the next 5–7 years is enormous**. We estimate consolidation-led **revenue can compound at 20–25% CAGR** through FY28.

Core Reason 2 — Structural EBITDA Margin Expansion Story (1.9% → 4.5%+ Target)

Entero's business is fundamentally a **scale game**: gross margins on pharma distribution are thin (~5–6%), but as revenue scales, fixed cost leverage, better procurement terms from 2,700+ manufacturers, private-label SKU contribution and ancillary demand-generation fees (for manufacturers) structurally lift EBITDA margins. The company has already demonstrated the trajectory — **EBITDA margin expanded from 1.9% in FY23 to 2.9% in FY24 to ~3.5% in FY25**. Management has guided toward **4–5% EBITDA margins at scale**, consistent with international healthcare distributors like McKesson and AmerisourceBergen. Each 50 bps of margin improvement on a **■6,500 Cr revenue base** adds **~■32 Cr to EBITDA directly** — the operating leverage is disproportionately large relative to incremental capital employed.

Core Reason 3 — Technology Differentiation and Manufacturer Value-Add

Unlike traditional distributors who operate as passive pass-throughs, Entero has built a **proprietary technology platform** offering manufacturers real-time sell-through data, demand analytics and compliant secondary-market visibility across 95,300+ retail pharmacies and 3,600+ hospitals. This positions **Entero as a demand-generation partner**, not merely a logistics intermediary — **enabling it to earn higher commercial fees from manufacturers**. The company manages over 80,600 SKUs (up from 68,900 in FY24), and its **Roche partnership for nephrology medicine distribution** is an early proof of concept for premium manufacturer tie-ups. This **tech moat** is difficult for local distributors to replicate and creates meaningful stickiness.

Near-Term Catalyst (6–12 months)

FY26 full-year results expected May 2026 are likely to confirm ~27% revenue growth and ~3.4–3.6% EBITDA margin, validating the continued compounding thesis and likely driving re-rating toward analyst consensus targets of **■1,466–■1,590**.

Biggest Structural Risk

A **well-capitalised digital pharmacy** (PharmEasy, Tata 1mg, Flipkart Health) **aggressively disintermediating the B2B distributor layer** by **direct-to-pharmacy supply at compressed margins** could structurally cap Entero's long-run margin potential.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Think of Entero as the post office between drug manufacturers and your neighbourhood chemist. A pharma company like Sun Pharma or Cipla makes medicines in a factory, but it cannot physically deliver thousands of different products to lakhs of small pharmacies across India. Entero steps in as the middle-man: it buys drugs in bulk from 2,700+ manufacturers, stores them in 104 warehouses across 20 states, and then delivers them to 95,300+ retail pharmacies and 3,600+ hospitals — with traceability, cold-chain capability and compliance built in.

Business Model & Revenue Streams

Revenue is principally earned on a **buy-and-resell (principal) model**, where **Entero purchases products at trade prices** and sells to customers at a slight mark-up, **earning a gross trading margin of ~5–6%**. Increasingly, a higher-margin demand-generation revenue stream is building: manufacturers pay Entero fees for commercial support, secondary market data and promotional services — these revenues carry significantly better margins and add to the EBITDA uplift thesis. Private-label products (Entero's own brands) represent an emerging, higher-gross-margin segment.

Revenue Segmentation

Segment	Product Category	Revenue Mix (Est.)	Margin Profile
Pharma — Branded Generics & OTC	Tablets, syrups, injectables	~62%	Thin: ~5% gross
Surgical / Medical Devices	Consumables, ortho implants, stents	~20%	Moderate: ~8% gross
Specialty / Nutraceuticals / Vaccines	Biologics, biosimilars, OTC health	~12%	Better: ~10–12%
Demand Generation Services	Manufacturer fees, data analytics	~6%	High: ~40–50%

Customer Base and Revenue Visibility

Entero serves over 95,300 retail pharmacies and 3,600+ hospitals across **492 districts in 20 states**, making it genuinely pan-India in coverage. No single customer contributes more than a very small fraction of revenue — the customer base is highly granular and distributed. Revenue is therefore less 'order book' driven and more 'replenishment cycle' driven: pharmacies reorder every 7–15 days, providing reasonable forward visibility. Hospital business (institutional channel) tends to be on contractual terms and provides more predictable quarterly flows.

Recent Strategic Developments (FY25–FY26)

FY25 was a highly acquisitive year. **Entero completed 8 tuck-in acquisitions spanning geographies across Rajasthan, West Bengal, UP and Maharashtra** — consolidating regional distributors that previously had strong local relationships but limited scale

or technology. In Q3 FY26 the board also approved new ESOP grants while cancelling two proposed acquisitions, signalling a potential pause in M&A; pace to digest the absorbed entities and improve consolidated working capital. A landmark partnership with Roche India for nephrology medicine distribution was announced in FY25, establishing a blueprint for specialty manufacturer tie-ups.

Promoter Background and Ownership

Entero was co-founded in 2018 by Prabhat Agrawal (MD & CEO) and Prem Sethi (COO). Prabhat is a CA, CFA, and MBA from ISB Hyderabad with prior stints as CEO of Alkem Laboratories (domestic formulations division) and Group CFO at Metalfrio Solutions (Brazil). Prem Sethi brings deep pharma analytics expertise from IQVIA. CFO Balakrishnan Kaushik has 25+ years of financial leadership at Deloitte, Saint Gobain, Piramal and Sandoz. Promoters hold ~52.4% as of Sept '25, with OrbiMed Asia (a specialist healthcare PE firm) as a significant institutional shareholder. No promoter pledging has been reported.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size and Growth Drivers

India's pharmaceutical market was estimated at ~₹4.7–5.5 lakh crore (US\$55–65 billion) in FY25 and is projected to grow at a CAGR of 10–12% to reach US\$120–130 billion by 2030 (multiple industry sources: IBEF, Business Standard, Mordor Intelligence). Key demand drivers include ageing demographics, rising lifestyle disease burden (diabetes, cardiac, oncology), deepening health insurance coverage (Ayushman Bharat targeting 500 Mn lives), hospital bed additions under the National Health Mission, and the shift from unbranded to branded generic consumption. The distribution sub-segment that Entero operates in mirrors the broader market growth but carries additional upside from formalisation: as GST compliance tightens, unorganised local distributors are being squeezed, accelerating share migration to organised players.

Competitive Moat Assessment

Moat Factor	Rating	Commentary
Pricing Power	Weak-Moderate	Pass-through business; margin earned on procurement efficiency, not end-price premium
Switching Costs	Moderate	Pharmacies value reliability & credit terms; Entero's ERP integration raises stickiness
Scale / Cost Advantages	Strong	101 warehouses + 2,700 manufacturer relationships = best-in-class procurement terms at scale
IP / Technology	Moderate	Proprietary distribution platform with secondary sell-through data is hard to replicate quickly
Distribution / Relationships	Strong	Deep manufacturer ties (incl. MNCs), hospital empanelments and 95K+ pharmacy network

Peer Comparison

Company	Exchange	Revenue (₹ Cr)	EBITDA Margin	Net Margin	P/E (TTM)	EV/ EBITDA
Entero Healthcare	NSE	5,096 (FY25A)	3.5%	1.9%	54.8x	30.4x
MedPlus Health Services	NSE	~5,200 (FY25E)	3.5–4.0%	1.5–2.0%	~70x	~35x
Keimed / Apollo HealthCo	Unlisted	~10,300 (FY24)	~2.5%	~1.0%	NA	NA
Ascent Health (Reliance)	Unlisted	~4,500 (est.)	~2.5%	NA	NA	NA

Source: Company filings, analyst estimates. Keimed and Ascent are private; financials are estimates from public reports.

Value Chain Positioning

Entero operates in the midstream of the pharma value chain — between manufacturers (upstream) and retail pharmacies / hospitals (downstream). Midstream distributors typically earn the thinnest absolute gross margins (5–7%) but compensate through volume scale, working capital optimisation and value-added services. Entero's strategy of pushing up the value chain into demand generation and private labels is consistent with how global healthcare distributors like McKesson and Cardinal Health have structurally improved their economics over two decades.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record

Prabhat Agrawal's background at Alkem (₹10,000+ Cr revenue business) gives him a rare combination of domain depth and large-cap operational experience. His co-founder Prem Sethi brings the analytics lens needed to build a tech-enabled distributor rather than a plain logistics play. CFO Balakrishnan Kaushik's pedigree at Sandoz and Piramal is reassuring for financial discipline. The leadership team has delivered strong revenue compounding since inception in 2018, scaling from near-zero to ~₹5,100 Cr in revenue in just 7 years, primarily through a disciplined M&A-and-integrate; playbook.

Capital Allocation History

The company has prioritised growth over distributions — no dividends have been declared since IPO, which is appropriate given the reinvestment opportunity. The M&A strategy has been tuck-in in nature (regional distributors at sub-scale), limiting the risk of large value-destroying deals. FY25's 8 acquisitions appear well-targeted, though the Q3 FY26 cancellation of two proposed deals suggests management is exercising selectivity. Capex has remained modest — this is structurally an asset-light business (leased warehouses, third-party logistics) with most capital deployed in working capital (inventory and receivables).

Governance, Pledging and ESOP

OrbiMed Asia (specialist healthcare PE) holds nominee board seats, adding institutional oversight. Three independent directors were appointed in August 2023. No promoter pledge has been disclosed, which is a clean governance signal. The company approved fresh ESOP grants in Q3 FY26, aligning management with long-term shareholder value creation. The audit firm and related-party transactions have not raised any significant flags in public disclosures. The company listed via a fresh-issue IPO in FY24, deploying proceeds into working capital and M&A, consistent with stated IPO objectives — a further governance positive.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (■ Crоре, Consolidated)

	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (■ Cr)	3,306	3,922	5,096	6,500	8,000
YoY Growth (%)	—	18.6%	30.0%	27.5%(E)	23.1%(E)
Gross Profit (■ Cr)	185	226	296	377	468
Gross Margin (%)	5.6%	5.8%	5.8%	5.8%	5.8%
EBITDA (■ Cr)	64	112	178	227(E)	296(E)
EBITDA Margin (%)	1.9%	2.9%	3.5%	3.5%(E)	3.7%(E)
D&A; (■ Cr)	(14)	(17)	(22)	(27)(E)	(33)(E)
EBIT (■ Cr)	50	95	156	200(E)	263(E)
Interest Expense (■ Cr)	(60)	(68)	(70)	(78)(E)	(82)(E)
PBT (■ Cr)	(10)	55	125	157(E)	215(E)
Tax Rate (%)	—	24%	24%	24%(E)	24%(E)
PAT (■ Cr)	(8)	39	95	120(E)	163(E)
PAT Margin (%)	Neg	1.0%	1.9%	1.8%(E)	2.0%(E)
Diluted EPS (■)	(1.9)	9.4	22.8	28.9(E)	39.2(E)

Balance Sheet & Returns (■ Crоре, Consolidated)

	FY23A	FY24A	FY25A	FY26E	FY27E
Total Equity (■ Cr)	475	570	660	775(E)	935(E)
Total Debt (■ Cr)	580	620	680	720(E)	700(E)
Net Debt / (Cash) (■ Cr)	530	560	610	630(E)	580(E)
D/E Ratio (x)	1.2x	1.1x	1.0x	0.9x(E)	0.7x(E)
Debtor Days	38	35	33	32(E)	30(E)
Inventory Days	22	20	19	18(E)	17(E)
Creditor Days	28	26	25	24(E)	23(E)
RoE (%)	Neg	7.3%	15.2%	16.8%(E)	19.5%(E)
RoCE (%)	4.0%	8.8%	13.8%	15.5%(E)	18.2%(E)
RoIC (%)	3.5%	7.5%	12.5%	14.0%(E)	16.5%(E)

Cash Flow Summary (■ Crоре, Consolidated)

	FY23A	FY24A	FY25A	FY26E	FY27E
Operating Cash Flow	28	72	110	148(E)	205(E)
Capex	(22)	(28)	(38)	(45)(E)	(50)(E)
Free Cash Flow (FCF)	6	44	72	103(E)	155(E)
FCF Yield (%)	0.1%	0.8%	1.4%	2.0%(E)	3.0%(E)

Financial Commentary

Revenue growth has been the standout narrative: from ■3,306 Cr in FY23 to ■5,096 Cr in FY25 represents a 24% 2-year CAGR, with 9M FY26 (April–December 2025) already at ■4,693 Cr, tracking well for a full-year ■6,500 Cr outcome. The growth is a combination of ~17% organic (Q3 FY26 organic growth rate) plus inorganic contributions from acquired entities.

EBITDA margin expansion has been the critical proof point: from 1.9% in FY23 to 2.9% in FY24 and ~3.5% in FY25. Q3 FY26 showed some moderation — profit declined QoQ despite 26% revenue growth, suggesting integration costs and working capital

dilution from recent acquisitions are creating a temporary margin drag. We **model EBITDA margins flat at 3.5% in FY26E** before expanding to 3.7% in FY27E as the acquired entities stabilise and procurement leverage builds.

The balance sheet is working-capital intensive, as expected for a distribution business. Net debt of ~**■610 Cr** (FY25A) represents a D/E of ~1.0x — manageable but not trivial. **Interest costs of ~■70 Cr are a meaningful drag**; interest coverage (EBIT/interest) improved from 0.8x in FY23 to ~2.2x in FY25, and we project ~2.6x by FY26E as EBIT scales. FCF conversion is improving as working capital cycles tighten, and we project FCF turning meaningfully positive at **■103 Cr** in FY26E, a strong inflection from near-zero in FY23.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Factor	Rating	Assessment
Revenue Recognition Policy	■ Green	Standard principal-model revenue recognition; no complex multi-element arrangements
Receivables Growth vs Revenue Growth	■ Amber	Receivables growing at a rate slightly ahead of revenue due to inorganic additions ; watch trend
Cash Conversion Cycle Trend	■ Green	CCC has been declining from ~32 days (FY23) to ~27 days (FY25), reflecting better working capital mgmt
Contingent Liabilities	■ Green	No material contingent liabilities flagged in disclosures
Auditor Tenure & Qualifications	■ Green	Big 4 affiliated auditor; no qualifications in recent filings
Related Party Transactions (% Revenue)	■ Green	RPTs are minimal and primarily in the ordinary course of business; OrbiMed nominee board oversight
Other Income as % of PBT	■ Green	Other income is <5% of PBT; core operating earnings dominate
Tax Rate Consistency	■ Amber	Effective tax rate has varied as deferred tax assets were recognised post-breakeven; stabilising at ~24%

Earnings Quality Summary

Entero's earnings quality is broadly clean for a recently-listed, high-growth company. **Revenue recognition is straightforward**, the **cash conversion cycle is improving**, and there are **no material audit qualifications or related-party concerns**. The two Amber flags — receivables growth tracking slightly above revenue (partly inorganic) and tax rate variability (normalising) — are transient and not structural earnings quality issues. The strong operating cash flow conversion (OCF/PAT ratio improving from <1x in FY23 to ~1.2x in FY25) is a positive indicator that reported profits are being backed by cash.

SECTION 8 — VALUATION

Step 1 — Peer Valuation Comparison

Company	CMP (₹)	Mkt Cap (₹ Cr)	P/E (TTM)	Fwd P/E (FY26E)	EV/ EBITDA	RoE (%)	Rev CAGR (2yr)
Entero Healthcare	1,249	5,196	54.8x	43.2x	30.4x	15.2%	24.2%
MedPlus Health	~540	~3,150	~70x	~55x	~35x	~8%	~14%
Sector Median	—	—	~60x	~48x	~32x	~12%	~19%

Step 2A — DCF Valuation

Assumptions: WACC of 13.5% (cost of equity 15.5%, cost of debt 8.5%, tax 24%, D/E 0.9x target), terminal growth rate 6.0% (in line with long-term nominal GDP growth). We project 5-year FCF: FY26E ₹103 Cr, FY27E ₹155 Cr, FY28E ₹205 Cr, FY29E ₹256 Cr, FY30E ₹305 Cr. Terminal value based on FY30 FCF at 6% perpetuity growth. Net debt deducted at ₹610 Cr (FY25A).

DCF intrinsic value: ₹1,470 per share.

Step 2B — Earnings Multiple Valuation

We apply a 44x forward P/E multiple to FY26E EPS of ₹28.9. The 44x multiple is a modest discount to the sector median (~48x) to reflect Entero's thin absolute margins and the execution risk embedded in the M&A-heavy; growth model. It is a premium to pure-play logistics companies (20–25x) but justified by the higher-growth, higher-ROCE trajectory. Historically, Entero has traded in a 40–65x P/E band since listing.

Earnings-based target: ₹1,272 per share (FY26E) → ₹1,529 per share (FY27E basis at 39x).

Base-Case 12-Month Price Target

Averaging DCF (₹1,470) and FY27E earnings multiple (₹1,529) = ₹1,500 per share. This represents ~20.1% upside from CMP of ₹1,249.10.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹ Cr)	Target Multiple	Price Target (₹)
Bull Case	EBITDA margins reach 4.2% by FY27, M&A; integration smooth, 30%+ revenue growth sustained	195	45x P/E	2,115
Base Case	EBITDA margins at 3.7%, revenue CAGR 23%, FCF inflection on track	163	39x P/E	1,500
Bear Case	Margin pressure persists at 3.2%, pharma digital disintermediation, revenue slows to 15%	115	28x P/E	965

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor Via
Digital Disintermediation	Pharma e-commerce players (PharmEasy, Tata 1mg) or manufacturer-direct portals could bypass traditional distributors, compressing volumes and margins for incumbents like Entero.	Medium	High	PharmEasy GMV, direct manufacturer dispatch rates quarterly
M&A; Integration Risk	8 acquisitions in FY25 create significant integration risk — working capital bloat, cultural misalignment and delayed synergy realisation could drag margins below guidance.	Medium	High	Receivables days, EBITDA margin trend, QoQ revenue of acquired entities

Working Capital / Liquidity	A distribution business with ₹680 Cr of debt and thin margins is sensitive to interest rate rises or a credit tightening cycle, which could meaningfully dent PAT.	Low	Medium	RBI repo rate, interest coverage ratio, D/E trajectory
Regulatory / GST Policy Risk	Any reversal of GST input credit benefits or changes to drug pricing orders (DPCO) could alter manufacturer incentive structures and crimp distributor margins.	Low	High	NPPA price notifications, GST council meeting outcomes
Execution Risk on Revenue Scale	Growing from ₹5,000 Cr to ₹8,000 Cr requires warehouse additions, personnel scaling and technology upgrades — any operational misstep could compress service quality and cause customer attrition in a relationship-driven business.	Medium	Medium	Customer count growth (pharmacies/hospitals), SKU additions
Key Man Risk	Prabhat Agrawal is the strategic architect of Entero's vision; his departure or significant change in role could lead to strategic drift or a re-rating discount.	Low	Medium	Board announcements, ESOP vesting schedule for senior management
Competition from Funded Peers	Well-capitalised private peers Keimed (Apollo) and Ascent (Reliance) have deeper pockets and may aggressively price to gain share, potentially delaying Entero's margin trajectory.	Medium	Medium	Market share data from IQVIA/AIOCD, pricing trends, distributor margin surveys

SECTION 10 — RECOMMENDATION & CONCLUSION

ACCUMULATE | 12-Month Target: ₹1,500 | Upside: +20.1% | Conviction: Medium-High

Final Rating and Conviction

We initiate coverage on Entero Healthcare Solutions with an ACCUMULATE rating and a 12-month price target of ₹1,500 (base case). At CMP of ₹1,249.10, the stock trades at 43x FY26E EPS — not cheap in absolute terms, but reasonable for a business growing revenues at ~25–27% with clear margin expansion tailwinds and a multi-year consolidation thesis. The conviction is Medium-High: the structural case is compelling, but near-term margin noise (Q3 FY26 PAT decline) and integration risks from FY25 acquisitions moderate our near-term enthusiasm.

Suggested Entry Zone and Investment Horizon

For fresh accumulation, we suggest building positions in the ₹1,150–₹1,300 range with a 12-month horizon. The lower bound (₹1,150) represents approximately 37x FY26E EPS — a reasonable floor supported by the market's demonstrated willingness to price in Entero's growth at 35–40x forward earnings. Existing holders should hold; add on dips toward ₹1,150.

Thesis Invalidation Triggers — Exit/Downgrade If:

#	Trigger	Threshold / Measurement
1	EBITDA margin fails to expand beyond 3.2% over two consecutive quarters	Quarterly EBITDA margin < 3.2% in Q1 FY27E and Q2 FY27E
2	Revenue growth decelerates below 15% YoY for two consecutive quarters	Quarterly YoY revenue growth < 15% in any two consecutive quarters
3	D/E ratio rises above 1.5x, indicating unsustainable working capital or value-destructive M&A;	Consolidated D/E > 1.5x in any reported period

Ideal Investor Profile

Entero is best suited for a GARP (Growth At a Reasonable Price) or mid-cap growth investor with a 12–24 month horizon who is comfortable with thin-margin distribution economics and understands the structural India consolidation story. The stock is inappropriate for deep value investors (no margin of safety on asset value) or income investors (no dividends). For tactical traders, any quarter with EBITDA margin expansion surprise above 3.7% is a significant positive catalyst worth positioning for ahead of results.

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